many facets, such as kurtosis (fat tails), illiquidity, counterparty, and contagion risk. Negative skewness (negative returns being larger in magnitude than positive returns) can be especially harmful when combined with leverage. Risk parity investors may just be exchanging equities-based risk for other forms of risk that can be equally as problematic.

In the second quarter of 2013, Invesco's $23.5 billion Balanced-Risk Allocation strategy fell 5.5%. The largest risk parity program, Bridgewater's $79 billion All Weather Fund, had a loss of 8.4% on $56 billion of inflation-linked debt, forcing it to reevaluate its heavy reliance on fixed income. In contrast to this, when using dual momentum "we don't need no stinkin' bonds," except when dual momentum tells us that we do. We utilize bonds when they are in the best position to add value to our portfolio instead of being a likely drag on portfolio performance.

FIFTY-SEVEN VARIETIES OF DIVERSIFICATION

Diversification is an age-old concept. It showed up in the Babylonian Talmud 1,500 years ago: "A man should always place his money one-third in land, a third in merchandise, and keep a third ready to hand." Ecclesiastes 11:2 tells us to "divide your portion to seven or even eight, for you do not know what misfortune may occur on earth." In *The Merchant of Venice*, Shakespeare wrote, "My ventures are not in one bottom trusted, nor to one place; nor is my whole estate upon the fortune of the present year. Therefore, my merchandise makes me not sad."

The impetus toward greater diversification got a big boost following the global financial crisis of 2007–2008 with its severe drawdown across many asset classes. A popular saying is that diversification works well … until it does not. Correlations tend to rise sharply during periods of market stress, which is when diversification is needed the most. This has led to an even greater impetus toward diversification.

INTERNATIONAL DIVERSIFICATION